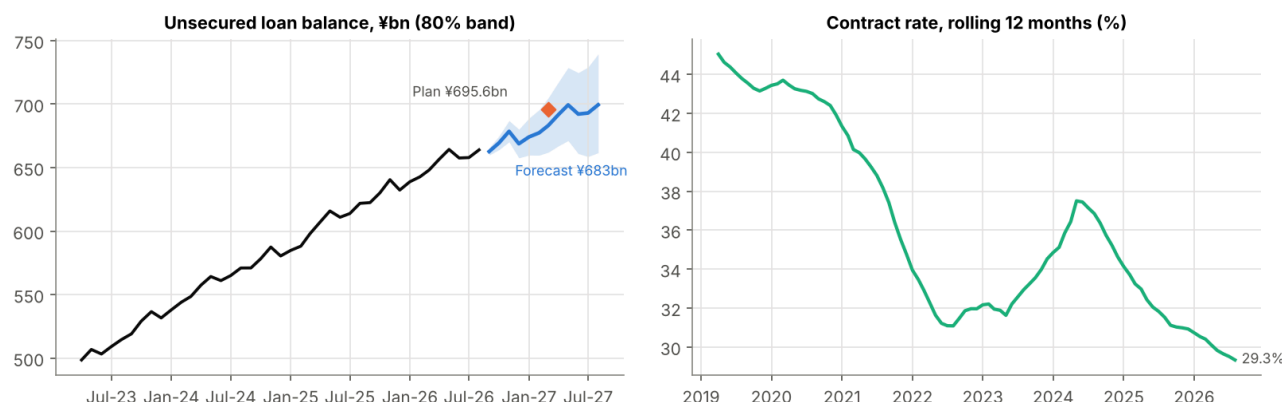


AIFUL Consumer Loans: 12-Month Performance Outlook

Prepared for: AIFUL management · **Data to:** Aug-2026 (public Monthly Data) · **Forecast to:** Aug-2027 · **Model:** SARIMA, backtested over 9 periods



1. What the forecast says

	Latest	Forecast	Plan (FY ending Mar-27)	Gap
Unsecured loan balance	¥664.0bn (Aug-26, +6.8% YoY)	¥683bn at Mar-27 (80% range ¥662-705bn)	¥695.6bn	-¥12bn (-1.8%)
New unsecured customers, FY	299k in FY2025	284k (-5.0% YoY)	295k	-11k (-3.6%)
Applications, FY	985k in FY2025	~1.0m (+1.6%)	—	demand is stable

Bottom line: demand is fine; **conversion is not.** At the current ~28% contract rate, loan growth slows from 6.8% to ~5.3% by Aug-2027, and the balance plan is missed by ~¥12bn. The plan sits near the top of the 80% range: reachable only if conversion improves.

2. Key drivers

- **Contract rate (approvals ÷ applications):** 45% before COVID → **28.2%** in Aug-2026. This one number explains the new-customer decline; applications are flat-to-up.
- **Acquisition cost:** CPA rose to **¥58k** in Q1 vs a ¥52k plan, on a flat ¥15bn ad budget. Management says the issue is conversion, not lead volume.
- **Seasonality:** applications peak in **Mar/Sep** (+11-19% vs trend); balances shrink in **Jun/Dec** (bonus-month repayments, about -0.8% each).
- **Channel shift:** unstaffed branches fell from 585 to **40** in a year (plan: 0), so acquisition is now almost entirely digital and affiliate-led.

3. Risks

- **Downside to new customers.** In the test year, the model over-forecast new accounts by ~9% because it cannot see the contract-rate slide. If the slide continues, results come in below this forecast.
- **Funding-cost squeeze.** The BoJ raised rates to **1.25%** (Sep-2026). The group's financial expenses were already +36% YoY in Q1, while lending rates are capped by law at 15-20%.
- **Credit quality if approvals loosen.** The delinquency ratio has improved from 0.92% (FY2023 avg) to ~0.7%. Raising approvals must not reverse this.

4. Recommendations

1. **Credit — test a recalibrated score on near-miss declines.** Run a champion/challenger test (current model vs a recalibrated one, on a random sample) on applicants just below the approval cut-off; management says it may be declining lendable customers while charge-offs stay low. **Target:** +2pp contract rate on the ~592k applications forecast for Sep-26-Mar-27 = **~11.8k extra customers**, enough to close the 10.6k plan gap. **Guardrail:** delinquency ratio ≤ 0.8%.
2. **Channels — pay for contracts, not applications.** Move affiliate and ad payouts to **cost per contracted customer**, report the contract rate by channel every month, and shift budget to channels that convert. Weight spend toward the Mar/Sep demand peaks and away from Dec. **Target:** CPA back to ≤ ¥52k plan.
3. **Performance monitoring — monthly forecast-vs-actual with triggers.** Refresh this forecast each month when Monthly Data is published (25th). Escalate if new accounts fall below the model's 80% lower bound **2 months in a row**, or the contract rate drops below **27%**. Add a funding-rate scenario for each BoJ move.

Sources: AIFUL/Muninova [Monthly Data](#), [Data Book Q1 FY2027/3](#) (plan, CPA, branches), results-briefing [Q&A Q1 FY27/3](#) and [FY26/3](#); [UPI](#) (BoJ Sep-2026); [FSA](#) (interest-rate cap). Forecast method and accuracy: [notebooks/aiful_forecast.ipynb](#). Independent analysis from public data; not affiliated with AIFUL.